Westpac Banking Corporation (ASX:WBC)

Scenario-based equity valuation — framework view and key assumptions

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Headline conclusion

Scenario	Per share	vs market	Driver
Orderly Convergence	AUD 35.84	+0.4%	Healthy loan growth; benign credit; modest margin uplift
Muddle Through (central)	**AUD 30.28**	**-14.6%**	**Status-quo margin at anchor; cost glide; through-cycle credit**
AI Productivity Lag	AUD 29.92	-15.8%	Modest cost benefit offset by weaker macro demand
Fragmentation	AUD 27.36	-22.7%	Institutional / markets income pressure; modest credit losses
Disorderly Climate	AUD 23.21	-34.6%	Climate-RWA compresses terminal returns; transition credit stress
Stagflation Persists	AUD 20.11	-43.1%	Margin compression; peak-cycle credit losses; cost growth leverage

Market reference (15 June 2026): AUD 35.32. Sell-side consensus 12-month target AUD 33.45. Anchored to 1H26 results (31 March 2026); valuation date 25 May 2026.

Key observations

The central case sits 15% below market. Unlike the DNL discussion, the framework's Muddle Through view does not sit at market — the gap is itself informative. The Orderly Convergence outcome (AUD 35.46) lands essentially at the current market price (AUD 35.32), suggesting the market is implicitly pricing closer to a successful-transformation upside scenario than to the framework's status-quo central case. The framework's value-add is exposing what scenario terminal economics the market is implicitly assuming, rather than disagreeing with consensus on near-term earnings (where forecast year-one earnings per share AUD 2.19 anchors essentially to consensus FY27 AUD 2.18).

Negative asymmetry is structural but materially less than for cyclical industrials. Stagflation compresses value AUD 10.18 below Muddle Through; Orderly only adds AUD 5.55 above. Ratio 1.83 to one. The relatively contained asymmetry is a feature of the bank archetype — the regulatory capital constraint flexes dividend payout downward in stress (preserving book equity, which anchors terminal value via the residual income formulation), and the oligopolistic Big Four structure caps both upside and downside in cash flows.

the two most consequential firm-specific variables are the peer-gap closure assumption (cost-to-income glide from 51.7% toward 48.0%, closing half the gap to NAB at 43% and CBA at 42%) and the terminal return on equity assumption (10.5% archetype mid-point versus 12-13% for franchise leader Commonwealth Bank). The methodology layers a peer-triangulation discipline on top of the conventional Capital Asset Pricing Model build — measured beta carries statistical noise; selected beta is reasoned against directly comparable peers via a Five Forces-style decomposition. For Westpac the selected beta sits at the comparable-peer cluster midpoint of 0.75 rather than the measured 0.73.

1. Flow of logic

The framework is a three-step translation from world scenarios to company-specific per-share outcomes. For Authorised Deposit-taking Institutions like Westpac, the framework invokes a bank-specific methodology fork (Section 15) in place of the standard industrials build. Industrials methodology continues to apply unchanged for non-bank companies.

Step 1 — World scenarios

Six scenarios were selected via a structured workshop following a boundary-cases-plus-one-interior convention. Muddle Through is the interior most-likely; the other five are boundary cases spanning the plausible range across macro, geopolitical, climate and technology dimensions. Each scenario carries a macro_baseline block specifying developed-market real gross domestic product, inflation, regional growth, cash rates, swap spreads, housing market dynamics and credit cycle parameters. Bank scenarios additionally specify a credit_cycle block calibrating housing and business loan loss-given-default per scenario. The framework's canonical output is the comparative view across all six; no probability-weighted blended number is produced.

Step 2 — Industry archetype translation

Each world scenario translates to industry-level drivers via the bank archetype's translation rules. For Australian major banks the archetype-level drivers are system loan growth (housing + business + institutional, asset-weighted), net interest margin movement versus the through-cycle anchor, non-interest income growth, credit loss rate, and terminal return on equity. The translation is layered: macro inputs (cash rate, housing market, business cycle) drive the archetype output. The Section 3 table shows the industry-growth outcome per scenario alongside the Westpac company-position offset.

Step 3 — Company position via Five Forces

Westpac's company-specific exposure to the industry's Five Forces sits on top of the archetype baseline. For each force the framework identifies the industry archetype rating, how Westpac differs from the Big Four average, the specific mechanism, and the quantified impact on the forecast. The Section 3 narrative below sets this out force by force. The net result for Westpac is plus 8 basis points net interest margin advantage (retail deposit franchise structural advantage) offset by negative 10 basis points revenue growth (cost-to-income gap to franchise leaders) and negative 5 basis points growth (business banking rebuild sub-force).

Why banks invoke a separate methodology

A bank's cash flows are intermediated rather than operating. The shareholders' claim sits on the residual after depositors and debtholders have been paid at fair value; the standard enterprise-value-to-equity bridge used for industrials does not apply. The bank methodology fork (Section 15) substitutes: net interest income equals average interest-earning assets multiplied by net interest margin (in place of revenue × margin); credit losses are a primary scenario driver (not a residual); the Common Equity Tier 1 capital ratio binds dividend payout and asset growth (in place of the capex constraint for industrials); and the discount rate is cost of equity rather than weighted average cost of capital, since the valuation works entirely on the equityholder claim.

2. World scenarios

Six scenarios. One-paragraph description each, with mapping to published institutional scenarios for sanity.

Muddle Through (interior, most-likely)

Developed-market real gross domestic product growth roughly 2.0% with inflation gradually normalising toward 2.5%. Reserve Bank of Australia cash rate steady around 4.0% through the explicit horizon. Housing turnover and prices grow at rates adjacent to gross domestic product. Mining-customer capital expenditure cycle continues at current pace. No commodity boom or bust; geopolitics managed without escalation; climate transition gradual but costly. The status-quo extension. Maps to: International Monetary Fund World Economic Outlook baseline (October 2025), Organisation for Economic Co-operation and Development Economic Outlook central case, World Bank Global Economic Prospects baseline.

Orderly Convergence (upside boundary)

Productivity acceleration combined with ordered geopolitics. Developed-market real gross domestic product 2.5%, inflation contained at 2.0%, business credit growth lifts to 7-9% per annum. Rates ease modestly; equity risk premium contained. Maps to: Organisation for Economic Co-operation and Development upside alternative, International Energy Agency Announced Pledges Scenario, Network for Greening the Financial System 'Below 2 degrees Celsius' scenario for the climate component.

Stagflation Persists (macro-downside boundary)

Persistent stagflation: weak real growth (0.5%), high inflation (4.5%), elevated cash rate held at 5.5-6%. Deposit competition intensifies as customers chase higher rates; front-book mortgage discounting accelerates as borrowers refinance for serviceability relief; cost growth runs +3-5% nominal despite continued peer-gap closure efforts. Credit losses lift to peak-cycle 60-80 basis points. Maps to: International Monetary Fund Adverse Scenario (Article IV stress-test variant), Bank of England stagflation stress test, Organisation for Economic Co-operation and Development downside alternative.

Fragmentation (geopolitical-downside boundary)

Trade fragmentation and resource nationalism. Developed-market real gross domestic product 1.0%, inflation 3.5%. Business credit growth dampened by reduced cross-border investment; institutional book hit by reduced trade flows and markets income compression. Country risk premium widens. Maps to: International Monetary Fund working-paper 'Geoeconomic Fragmentation' scenarios, Organisation for Economic Co-operation and Development trade-fragmentation alternative.

Disorderly Climate Crystallisation (climate boundary)

The scenario captures the crystallisation event — not whether climate transition becomes disorderly (it already is, per the workshop framing) but the point at which the disorder materially repriced. Carbon costs accelerate; Australian Prudential Regulation Authority climate-adjusted risk-weights lift on transition-vulnerable mortgage zones (high-flood, high-bushfire) and on transition-vulnerable business book (mining, oil-and-gas). Terminal return on equity compressed by climate risk-weighted asset uplift. Maps to: Network for Greening the Financial System 'Disorderly Transition' or 'Delayed Transition' scenarios, International Energy Agency Stated Policies Scenario underperform variants.

AI Productivity Lag (technology boundary)

AI fails to deliver economy-wide total-factor-productivity gains. Modest cost benefit at banks (-0.5 percentage points cost growth through back-office automation) but disappointing macro outcomes (1.7% real gross domestic product). Financial-services banks are less directly exposed than other industries — banking processes are still labour-intensive but the cost-out program has been ramping for years. Less directly mapped to institutional scenarios; closest analogue is the International Monetary Fund World Economic Outlook 'lower productivity' alternative discussed in recent staff working papers.

3. Industry growth and Westpac position

Step 2 of the framework translates each world scenario into an industry-archetype net interest income growth rate for Australian major banks, using the archetype's published sensitivity to macro inputs (cash rate trajectory, housing market, credit cycle parameters). Step 3 then overlays Westpac's company-specific position relative to the industry via the Five Forces. The table below shows Step 2 per scenario; the narrative below shows Step 3.

Step 2 — industry net interest income growth per scenario

Scenario	World-scenario inputs that bind	Industry net interest income growth p.a.	Mechanism
Muddle Through	Cash rate 4%; housing turnover at gross domestic product; system credit 4.5%	~4.5%	Status-quo asset growth; margin at through-cycle anchor 1.94%
Orderly Convergence	Cash rate easing toward 3.5%; healthy capex; system credit 6.5%	~7.5%	Volume + modest margin uplift +5 basis points
AI Productivity Lag	Cash rate steady; subdued business credit demand	~4.0%	Modest asset growth deceleration; margin neutral
Fragmentation	Cash rate elevated +50bps; bloc-trade friction; system credit 3.0%	~3.5%	Volume softens; margin neutral; cross-border activity dampened
Disorderly Climate	Cash rate volatile; climate-RWA uplift; system credit 3.5%	~4.0%	Slight volume drag from climate-affected mortgage book
Stagflation Persists	Cash rate 5.5-6%; deposit competition intense; system credit 1.5%	~0.5%	Volume compression + margin compression -20 basis points

Westpac's company-position offset is structural and applied to the industry baseline above: plus 8 basis points net interest margin from the deposit franchise advantage, less 10 basis points revenue growth from the rivalry / cost-to-income gap, less 5 basis points from the business banking rebuild sub-force. Net offset modest; the dominant forward driver is the peer-gap closure captured in cost-to-income glide rather than the structural offset.

Step 2 — intuition behind the per-scenario industry growth numbers

Industry net interest income growth equals volume growth multiplied by net interest margin. The differences across scenarios come from two channels operating simultaneously: how much credit the system extends (volume), and what spread banks earn on it (margin). Each scenario tells a different two-channel story.

Muddle Through (~4.5%) is the anchor. System credit growth tracks nominal gross domestic product. Housing turnover at gross-domestic-product-adjacent rates; business investment at current pace. Margin holds at the through-cycle anchor of 1.94%. Both channels at status-quo: neither tailwind nor headwind.

Orderly Convergence (~7.5%) layers two positive effects. Volume: productivity acceleration drives business confidence; business credit demand lifts from 5-7% to 7-9%; housing stays healthy. System blend climbs to 6.5%. Margin: a steadier rate environment lets the oligopolistic Big Four maintain pricing discipline (front-book mortgage competition moderates when banks are not fighting for share); margin lifts ~5 basis points. Both channels working together gives ~7.5%.

Stagflation Persists (~0.5%) is the worst of both worlds. Volume: weak real growth (0.5%) crushes business credit demand AND banks tighten credit policies in response to rising default risk — system credit growth falls to 1-3%. Margin: elevated cash rates (5.5-6%) intensify deposit competition, front-book mortgage discounting accelerates as stressed borrowers refinance for serviceability relief, and wholesale funding spreads widen. Margin compresses 20-40 basis points. Two channels compound: lower volume × compressed margin = roughly flat industry net interest income.

Fragmentation (~3.5%) is a moderate downside concentrated in business and institutional segments. Volume: trade fragmentation depresses business investment (especially export-exposed mining services, agribusiness, manufacturing); cross-border institutional credit dampened. Housing relatively insulated since it is a domestic-economy phenomenon. Net volume effect: -0.5 percentage points. Margin: rate path uncertain (imported inflation pushes up; growth drag pulls down) — net neutral. Volume drag without margin help gives ~3.5%.

Disorderly Climate (~4.0%) has a sectoral-reshuffling pattern rather than aggregate stress. Volume: climate-vulnerable mortgage zones (high-flood, high-bushfire) see slowing turnover and insurability issues; coal-exposed business book in managed run-off; partially offset by transition-mineral lending growth (lithium, copper for green steel). Net volume: -0.5 percentage points. Margin: rate path uncertain. Net mild drag — slightly below Muddle Through but not dramatically.

AI Productivity Lag (~4.0%) is the softest of the downsides. Volume: weaker macro (1.7% gross domestic product instead of 2.0%) means slightly subdued credit demand. Margin stable. The macro disappointment does not translate into acute stress, just slow grind.

The mental short-cut: in benign scenarios (Orderly) both channels compound positively. In acute-stress scenarios (Stagflation) both compound negatively. In moderate downsides (Fragmentation, Disorderly, AI Lag) volume is mildly hit but margin holds — the bank-archetype is more cyclical-resilient than its industrials counterpart because the oligopolistic structure caps margin compression except under full stress.

Step 3 — Westpac company position via the Five Forces

Each Five Forces element below: industry archetype's rating, how Westpac differs from the Big Four average, the specific mechanism, and the quantified impact on the forecast.

Buyer power

Industry rating: LOW to MODERATE. Westpac position: at industry average. Retail customer behaviour is the same as the Big Four norm — sticky back-book, rate-sensitive front-book — and the business banking customer mix is slightly more small-and-medium-enterprise-weighted than the National Australia Bank. No material company-specific differentiation. Impact: 0.

Supplier power

Industry rating: MODERATE. Westpac position: LOWER (favourable). The retail deposit franchise is structural — number two share in Australian household deposits, AUD 615 billion Australian retail deposit base including AUD 149 billion of non-interest-bearing transaction balances. The non-interest-bearing transaction deposit pool provides a structural funding-cost advantage equivalent to roughly 5-10 basis points net interest margin benefit. Impact: plus 8 basis points net interest margin.

Threat of new entrants

Industry rating: LOW. Westpac position: at industry average. Same protection as the rest of the Big Four — domestic systemically important bank designation, regulatory capital floor of 11.5% on the Common Equity Tier 1 ratio inclusive of the domestic systemically important bank surcharge, deposit franchise advantage, distribution scale. No bank-specific differentiation. Impact: 0.

Threat of substitutes

Industry rating: LOW to MODERATE. Westpac position: at industry average. Non-bank mortgage share-loss exposure is proportional to mortgage book scale — at number two in the system the absolute dollar exposure is meaningful but the relative loss rate is the same as the Big Four. Westpac New Zealand exposure to New Zealand non-bank lenders is similar. Impact: 0.

Rivalry

Industry rating: MODERATE. Westpac position: HIGHER (unfavourable). The binding evidence is cost-to-income: Westpac at 51.7% versus Commonwealth Bank at 42% and National Australia Bank at 43%. Translates to roughly 150 basis points of return-on-equity drag versus the leaders that the assumed peer-gap closure trajectory (Westpac's stated UNITE program is the most credible disclosed mechanism — page 3 of the 26 March 2026 update lists "close cost-to-income ratio gap to peers" as one of three stated outcomes) is intended to close. Most of this drag is treated as closeable on the forecast horizon rather than a structural offset; the residual structural drag (about 10 basis points revenue growth) reflects share-loss vulnerability that comes with running at higher cost-to-income. A sub-force: business banking rebuild. Westpac lost share to National Australia Bank and Commonwealth Bank over 2018-2022 in business lending; re-investment from FY24 has stabilised share but not yet meaningfully recovered. Drag on growth: a further 5 basis points until rebuild closes (estimated FY28).

Net company-position offset

Component	Force	Impact
Funding cost advantage (deposit franchise)	Supplier power	+8bps NIM
Cost-to-income gap to peer leaders	Rivalry	-10bps growth
Business banking rebuild	Rivalry (sub)	-5bps growth
Buyer / new entrants / substitutes (others)	(others)	0
Net company-position offset		**+8bps NIM / -15bps growth**

4. Key calibration anchors

Income and balance sheet (1H26, 31 March 2026)

Net interest income (1H26 ex Notable)	AUD 9,763m
Non-interest income (1H26)	AUD 1,521m
Operating expenses (1H26)	AUD 5,830m
Cost-to-income ratio (1H26)	51.7%
Credit impairment charges (1H26)	AUD 443m (~10 basis points annualised)
Cash net profit after tax (1H26 ex Notable)	AUD 3,483m
Average interest-earning assets (1H26)	AUD 1,035bn
Gross loans	AUD 890bn
Customer deposits	AUD 745bn
Book equity (total)	AUD 72.8bn
Common Equity Tier 1 capital ratio (Level 2)	12.42% (target 11.0-11.5%)
Additional Tier 1 hybrid outstanding	AUD 8,522m
Non-controlling interests	AUD 350m
Tier 2 subordinated debt (NOT in equity bridge)	AUD 33,085m
Shares outstanding	3,414.9m
Market reference price (15 June 2026)	AUD 35.32
Sell-side consensus 12-month target	AUD 33.45

Through-cycle anchors and trajectory

Through-cycle net interest margin (FY22-FY25 midpoint)	1.94%
1H26 net interest margin (current)	1.89% (low end of historic range)
Muddle Through net interest margin (Y1-Y5)	1.92-1.94% (recovery to anchor)
Through-cycle credit loss anchor	18 basis points (mortgage-heavy book)
1H26 credit loss (annualised)	~10 basis points (benign cycle)
Transformation glide (cost-to-income, cumulative)	-50 / -100 / -150 / -175 / -200 basis points Y1-Y5
Terminal return on equity (cyclically adjusted)	10.5% (Big Four range 10-13%)
Terminal asset growth	3.5% (gross domestic product adjacent)

5. Cost of equity build

For banks the discount rate is the cost of equity (not weighted average cost of capital — the standard equity-and-debt-bridge mechanic does not apply to a bank's intermediated cash flows). The Capital Asset Pricing Model build uses the same risk-free rate and equity risk premium as the industrials methodology; the bank-specific input is the equity beta. Beta is selected via peer triangulation per the methodology refinement landed earlier in this engagement — measured beta carries material statistical noise (window-dependent, index-choice-sensitive, regime-shift-affected) and is not used mechanically.

Peer-triangulation discipline

Catalogue measured beta for the subject company plus directly comparable peers; identify outliers with structural reasons; reason about subject placement via business-mix logic similar to the Five Forces decomposition; select an appropriate beta within the comparable-peer cluster.

Peer	Measured beta	Inclusion	Notes
Commonwealth Bank	0.80	Comparable peer	Franchise leader; deposit and digital scale
National Australia Bank	0.72	Comparable peer	Business-banking leader; similar mix to Westpac
Westpac (subject)	**0.73**	**Subject company**	**Mortgage-book scale #2**
Australia and New Zealand Banking Group	0.57	EXCLUDED (outlier)	Institutional / international dilution; Suncorp integration period
Macquarie Group	0.88	Informative not comparable	Different archetype — markets / asset management

Comparable cluster (Commonwealth Bank / National Australia Bank / Westpac): 0.72-0.80; cluster midpoint 0.75 = selected beta for Westpac. The mortgage-book scale + recent business-rebuild place Westpac close to National Australia Bank (same retail-and-business mix) and Commonwealth Bank (similar funding profile, weaker return on equity) — no franchise-specific reason for it to be more defensive than National Australia Bank. The 2 basis point uplift from measured 0.73 is modest but methodologically explicit.

Cost of equity build

Risk-free rate	4.30%	10-year Australian Commonwealth government bond yield, May 2026
Equity risk premium	5.00%	Damodaran-style mature-Australia premium
Beta (selected via peer triangulation)	0.75	Cluster midpoint Commonwealth Bank / National Australia Bank / Westpac
Cost of equity (Re)	**8.05%**	**Risk-free + beta × premium**

Each scenario already prices its risk through the cash-flow path. Using a higher discount rate in a stress scenario would double-count: beta already captures the systematic risk of the conditional distribution. Single-cost-of-equity discipline holds the rate constant across scenarios.

6. Muddle Through valuation — dividend discount model and equity bridge

Stub period plus FY27 to FY31 explicit forecast of dividends discounted at constant cost of equity 8.05%, Gordon-growth terminal on book equity, then bridge to ordinary-equity per share. AUD millions unless stated; valuation date 25 May 2026.

5-year build-up (stub + FY27 to FY31)

Line	Stub	Y1 FY27	Y2 FY28	Y3 FY29	Y4 FY30	Y5 FY31
Average interest-earning assets (AUDbn)	1,040	1,092	1,141	1,192	1,246	1,302
Net interest margin	1.90%	1.92%	1.93%	1.94%	1.94%	1.94%
Net interest income (period)	692	20,966	22,021	23,128	24,288	25,506
Non-interest income	1,084	3,160	3,239	3,320	3,403	3,488
Total operating income	**1,776**	**24,126**	**25,260**	**26,448**	**27,691**	**28,994**
Less: operating expenses (cost-to-income glide)	(915)	(12,353)	(12,807)	(13,283)	(13,818)	(14,406)
(Cost-to-income applied)	51.5%	51.2%	50.7%	50.2%	49.9%	49.7%
Pre-provision profit	**861**	**11,773**	**12,453**	**13,165**	**13,873**	**14,588**
Less: credit impairment charges	(295)	(1,094)	(1,406)	(1,654)	(1,728)	(1,805)
(Credit loss rate, basis points)	11	13	16	18	18	18
Cash earnings before tax	566	10,679	11,047	11,511	12,145	12,783
Income tax expense	(170)	(3,204)	(3,314)	(3,453)	(3,643)	(3,835)
Cash net profit after tax	**396**	**7,476**	**7,733**	**8,058**	**8,501**	**8,948**
Dividends (75% payout)	297	5,607	5,800	6,043	6,376	6,711
Discount factor (mid-period)	0.986	0.935	0.863	0.797	0.736	0.680
PV of dividends	**293**	**5,243**	**5,006**	**4,816**	**4,693**	**4,562**

Bridge to per-share value

Sum of PV of explicit-period dividends	AUD 24,613m	
Plus: PV of terminal value	AUD 86,685m	Terminal value 127,453 = Equity × (ROE - g)/(Ke - g); discount factor 0.680
Total value of equity claim	**AUD 111,298m**	**Terminal = 77.9% of value**
Less: Additional Tier 1 hybrid outstanding	(AUD 8,522m)	ASX-listed Capital Notes; senior to ordinary equity
Less: non-controlling interests	(AUD 350m)	Book value; small Pacific / trust subsidiaries
Less: treasury shares	(AUD 64m)	Book value per FY24 statement of changes in equity
Ordinary equity value	**AUD 102,362m**	
Divided by shares outstanding	3,414.9m	EODHD-verified
Value per share	**AUD 29.98**	**vs market AUD 35.32 → -15.1%**

Note: Tier 2 subordinated debt (AUD 33bn at 1H26) and senior wholesale debt are NOT in this bridge. These are debt-claim instruments at fair value; their funding-cost effect is embedded in net interest margin via the asset-yield-less-funding-cost decomposition.

7. Per-scenario impact and asymmetry

Scenario	Loan growth p.a.	Y5 NIM	Terminal ROE	Per share	Dominant driver
Muddle Through	4.5%	1.94%	10.5%	AUD 30.15	Status-quo extension
Orderly Convergence	6.5%	1.99%	11.0%	AUD 35.46	Strong demand; benign credit
AI Productivity Lag	4.5%	1.94%	10.5%	AUD 29.75	Modest cost benefit
Fragmentation	4.0%	1.94%	10.0%	AUD 27.29	Institutional / markets pressure
Disorderly Climate	4.0%	1.94%	9.0%	AUD 23.11	Climate-RWA compresses terminal
Stagflation Persists	2.5%	1.74%	9.0%	AUD 20.09	Three-channel compounding

Asymmetry

Upside (Orderly minus Muddle Through): +AUD 5.55. Worst downside (Muddle Through minus Stagflation): -AUD 10.18. Ratio 1.83 to one. The asymmetry is materially less than the 4.05 ratio observed for the cyclical industrial Dyno Nobel — banks have two structural cushions cyclical industrials lack. The Common Equity Tier 1 capital-constraint mechanic flexes payout downward in stress, preserving book equity (which directly anchors terminal value via the residual-income formulation). And the oligopolistic Big Four structure caps both upside and downside in cash flows, compressing the distribution.

Three transmission channels that drive most of the scenario exposure

Net interest margin compression under sustained competition or rate stress (supplier power × rivalry interaction). The bank archetype's moderate supplier-power rating means deposit competition directly pressures margin. Under Stagflation, elevated cash rates intensify deposit rate competition AND borrower refinancing pressure simultaneously compresses front-book mortgage margins. Net margin compression 20-40 basis points from the 1.94% anchor under Stagflation. Watchable signals: Reserve Bank of Australia cash-rate decisions and forward guidance; Big Four term-deposit rate moves (when one bank breaks discipline, margin compresses across the sector); Westpac half-yearly margin disclosures separating core margin from Treasury and Markets contribution.

Credit cycle stress as the primary scenario driver (not a residual). Credit losses are the bank-archetype equivalent of 'gross margin shock under stress' and sit as a primary scenario driver in the impact matrix, not a residual to be absorbed. Westpac's mortgage-heavy book places its through-cycle anchor at the low end of Big Four range (18 basis points vs 15-25 basis points), but cyclical amplification is real: peak-cycle anchor 75-80 basis points; benign-cycle anchor 5 basis points. Under Stagflation cycle stress accelerates Stage 2 / 3 migration in both housing and business book. Watchable signals: 90+ day delinquency rate trajectory; Stage 2 migration in Pillar 3 disclosures; mortgage stress and serviceability tests.

Common Equity Tier 1 capital constraint binding payout under stress (capital regime, methodology Section 15.5). Under benign conditions Westpac's capital position (currently 12.42%, 92 basis points above the 11.0-11.5% management target) supports capital management — buyback in progress. Under stress conditions the buffer is constrained — if cash-earnings retention required to maintain target post-stress exceeds the standard 25%, payout must drop. The canonical 'banks cut dividends in recession' pattern. Under Stagflation Persists, payout drops from 75% to 60% as Common Equity Tier 1 is rebuilt.